

When trading flags, you must first be sure you have a valid formation. Use the identification guidelines outlined in [Table 34.1](#) to ensure that you have correctly identified a flag, including the flagpole.

Measure rule. The measure rule sets the expected price move.

First, determine where the trend begins, which is usually the minor high (for downtrends) or low (for uptrends) preceding the flag (at the base of the flagpole).

[Figure 34.6](#) shows the flagpole beginning at point A, the start of the straight-line downhill run. Subtract the low at the flag start (point B at 42.75) from point A (47.50), giving a height of 4.75. Subtract the height from the high at the formation end (point C at 43) to give the target price of 38.25. Price reaches the target 13 trading days after it moves below the flag trendline.

Notice that I'm calculating each leg using the longest length, from the high price at A to the low price at B and then the high at C to the target. So if the flag slopes in a different direction, you'll still know how to do the math.

[Table 34.8](#) Performance Over Time for Bull Markets

Description	Up Breakout	Down Breakout
1990s	13%	−11%
2000s	11%	−8%
2010s	6%	−6%

[Table 34.10](#) Trading Tactics

Trading Tactic	Explanation
Measure rule	Calculate the price difference between the start of the trend (flagpole bottom) and the flag. Price should move at least this amount above (for uptrends) or below (for downtrends) the end of the flag. See text for details.
Wait for breakout	As price moves outside the trendline boundary, place the trade.